Burma, the labor problems were based on four factors: factories were build in a haphazard fashion; the government's ignorance of the growing discontent; the preoccupation with reforming the constitution at the expense of dealing with other problems; and outside subversion which threatened to destabilize the state (137).

By the late 1970s the Burmese economy was in shambles. The xenophobia and isolation of the BSP caused considerable long-term damage to the economy. The regime was going into heavy debt. World Bank members set up a common policy for aid distribution to Burma to no avail. China also started to heavily fund the regime. As the debt doubled and exports were cut by over 50 percent, the regime reacted by devaluing currency. The corruption and black market also strangled any economic development efforts. Burma was classified as a least-developed nation by 1987. The debt had reached 4 billion dollars and GDP targets goals were not met.

DOMESTIC TURMOIL

Because of insurgency and economic problems, Ne Win decided to build a stronger domestic coalition. By 1969, Ne Win had released most of the former governmental leaders incarcerated following the 1962 coup d'état. Even though the former officials U Nu, Ba Swe, and Kyaw Nyein pledged not to participate directly in politics, Ne Win asked them to serve on a new advisory board to facilitate the writing of a new constitution for Burma. Ne Win's rationale was based on the belief that bringing the former members of the regime into the government, even in an advisory position, would give the Revolutionary Council needed legitimacy. The Internal Unity Advisory Board was formed to facilitate the constitutional revision and strengthen national unity.

U Nu pushed for the return of civil liberties and a semblance of authentic democracy to Burma. The Revolutionary Council quickly became concerned about the potential of U Nu rebuilding a popular base. Nu was spending most of his time touring the countryside and lecturing about Buddhism.

In 1969, U Nu was granted permission to travel aboard and he quickly turned on the Burmese government. The Parliamentary Democracy Party